

Economic History II

Midterm Exam (A1): answer key and marking criteria

FGV EPGE

Articles examined: Nunn (2008); Feir, Gillezeau and Jones (2024); Lowes and Montero (2021); Ottinger and Voigtländer (2025); Larsen, *Ancient Kanesh* (chs. 6 and 14); Klein and Luna (2009, ch. 5); Jha (2015); Valencia Caicedo (2019); Cagé, Grosjean and Jha (2023). Two multiple choice questions examine material presented in class (Dippel and Heblich 2021; Barjamovic et al. 2019).

Part I answers: **1c, 2a, 3d, 4b, 5a, 6b, 7c, 8c, 9d, 10c.**

Every question on the articles can be answered from the introduction of the article (or, for Larsen, from the assigned chapters) and from the slides.

Part I. Multiple choice (5.5 points each)

- 1. (c)** *Nunn 2008, introduction and section II.* Nunn stresses that Africa's slave trades were unique because, unlike earlier ones, individuals of the same or similar ethnicities enslaved one another: villages and states raided each other, and in the gun-slave cycle individuals kidnapped neighbours and relatives to obtain guns. This gives the consequences he tests as channels: social and ethnic fragmentation (ties between villages weakened, broader ethnic identities prevented from forming), political instability and the weakening or collapse of states (Joloff, Kongo), and the corruption of judicial institutions. The data are consistent with the two channels he measures, ethnic fractionalization and precolonial state development. (a) uses a true fact (the unprecedented volume) to reach a channel that is not Nunn's; (b) is the AJR argument, not Nunn's, who treats the slave trades as an event distinct from colonization; (d) is invented.
- 2. (a)** *Feir et al. 2024, introduction.* The authors show that bison nations with greater access to credit in 1870 (measured by proximity to a bank) were more likely to enter capital-intensive industries and less likely to enter agriculture, the sector the Bureau of Indian Affairs encouraged and financed. As a result, bison nations with more credit have experienced more income convergence over time. The reading: credit was what made re-specialization and migration possible, and where it was missing, the shock changed the path of development instead of being absorbed. (b) reverses the role of BIA credit (it was plentiful for agriculture, which is what tied nations to that sector); (c) is invented; (d) contradicts the article, which shows that the application of the Dawes Act does not explain the gap.
- 3. (d)** *Lowes and Montero 2021, introduction (mechanisms).* Using the Afrobarometer for Cameroon and Gabon, the authors test whether exposure to the campaigns affects trust in neighbours, acquaintances, local government, the police, traditional leaders and other institutions. There is no effect on any of these measures: the mistrust is specific to the medical domain. This fits the result on World Bank projects (only health projects perform worse) and contrasts with the Congo concessions, where interpersonal trust rose. (b) carries the concessions result over to the case of medicine.
- 4. (b)** *Ottinger and Voigtländer 2025, introduction (data).* Woods aimed to assess rulers' ability independently of the performance of their states, but the fact that he coded both raises the suspicion that rulers of successful states were graded generously. The authors do two things: they verify and extend Woods' coding with their own assessments (the results hold using only their own coding), and they add two objective measures that no historian graded, the change in land area during each reign (borders mapped every five years, 1100 to 1790) and the change in urban population within those borders. (a) correctly describes Woods' belief, which works against the results, but no one "reverses signs"; (c) and (d) contradict the description of the data (13 states; intellect, not morals).

5. (a) *Larsen, ch. 14*. The system ran on a price difference: silver was cheaper in Anatolia than in Assur. Tin bought in Assur at 13 shekels per shekel of silver sold in Kanesh at 7; a *kutānu* textile costing less than 4 shekels in Assur was worth 10 to 12 in Kanesh. A load worth about 30 pounds of silver in Assur fetched 45 to 50 in Kanesh, a profit above 50% before taxes and expenses. **Note:** (b) is the reading that Larsen explicitly calls misleading: copper circulated within Anatolia (Durhumit, Wahshushana, Purushaddum) and almost never went to Assur, being too heavy for its value and with the Taurus in the way. (d) is wrong because Assur produced very little of what it sold: it was a transit city, exempt from taxes on metals and textiles.

6. (b) *Larsen, ch. 6*. Larsen: “The trade certainly continued, presumably on a lower level”, but it changed character. The thousands of letters disappear because the pattern reverted to **venture trade**, in which the merchant travels with his own goods and deals with customers in person, which makes much of the paperwork (letters, credit contracts) unnecessary. The joint-stock partnership is no longer mentioned; the short-term partnership appears instead. There is no sign of obvious impoverishment: the houses of level 1b are larger and have stone foundations, and the treaties speak of caravans of fifty or a hundred donkeys; Dercksen, however, reads the few published texts as a sign of general impoverishment, and the question remains open. (a) is false: the Assyrians returned to Kanesh a few years after the fire; (c) and (d) are invented (any caravan to Purushaddum still passed through Kanesh and paid tax there).

7. (c) *Klein and Luna (2009), ch. 5*. Klein and Luna are explicit in treating the slave market as economically rational. The price studies the authors discuss conclude that the market was rational; prices were not fixed but responded to conditions of supply and demand and varied over time and across regions. The price structure also reflected characteristics associated with capacity for work, such as physical strength, sex, age, skills, health and specialization. (a) reverses the authors’ argument on technology: they do not attribute the technological backwardness of sugar or mining to enslaved labour. (b) overstates the reach of the export sector and applies to Brazil a conclusion that the authors say fits it less well than the North American case. (d) directly contradicts the statement that no school defending slavery positively on non-economic grounds formed in Brazil.

8. (c) *Slides, class 12 (Dippel and Heblich, “Leadership in Social Movements”, AER; article covered in class, not assigned)*. The historical narrative suggests four channels, and the authors measure each one: local German-language newspapers (many bilingual), which the Forty-Eighters founded, edited or wrote for; social and political clubs, above all the Turner societies, whose national convention adopted an abolitionist platform in 1855; public speeches (enlistment rises about 60% in the two following weeks); and their own enlistment (about 50% in the two following weeks). Newspapers and clubs account for about a third of the effect. In addition, companies led by a Forty-Eighter deserted less, and towns with Forty-Eighters were more likely to found a chapter of the NAACP decades later. (a), (b) and (d) are invented.

9. (d) *Slides, class 9 (Barjamovic, Chaney, Coşar and Hortaçsu, “Trade, Merchants, and the Lost Cities of the Bronze Age”, QJE; article covered in class, not assigned)*. The 15 pairs of known cities, where both trade and distance are observed, are used to learn how fast trade falls with distance (an elasticity of 1.9, close to modern estimates). Each lost city is then moved on the map until the share of trips its position predicts matches the share recorded in the tablets: a triangulation from known anchors. Historians’ proposals do not enter the estimation, which is exactly what gives the agreement its value: in most cases the estimates fall close to the historians’ conjectures, and where historians disagree the method supports some against others. (a) uses what the method leaves out; (b) confuses it with the comparison of ancient and modern size; (c) confuses it with the check against itineraries, which is a validation, not the method.

10. (c) *Ottinger and Voigtländer 2025, introduction (mechanisms)*. Less inbred, more capable rulers reduced their involvement in international wars, but when they did fight, they won a larger share of battles, which led to territorial expansion into urbanized areas. The authors’ reading: capable rulers chose conflicts “wisely”, expanding into valuable, densely populated territories. They

also improved finances, commerce, law and order, and general living conditions. (a) reverses the result on wars; (b) and (d) are invented.

Distractors designed to catch a superficial reading: 1(a), 2(d), 5(b), 6(a), 9(c).

Part II. Marking criteria

Students answer three of the four. Each question is worth 15 points.

Question 11 (Jha 2015), 15 points

- (i) **The central argument.** The asset is the **share in an overseas joint stock company**, popularized at the end of the sixteenth century to share risks and opportunities abroad. The rights needed to profit overseas (charters, monopolies, customs, Admiralty jurisdiction) belonged to the Crown and benefited it at the expense of investors. Holding shares aligned the investor with the constitutional reforms meant to take control of these rights from the Crown: foreign policy, finance and war. In the data (1,842 biographies, 528 members of the Long Parliament), the endowments most exposed to executive discretion, above all overseas interests, predict rebellion; holding shares raises support for parliamentary supremacy by about 20 points. **8 points**
- (ii) **The common thread.** The three explanations share a coalition of holders of **domestic wealth** who demand and obtain more protection for domestic property: North and Weingast (a reaction to Stuart rapacity; removing kings makes the promise not to expropriate credible), Marx (the “First Bourgeois Revolution”, new commercial classes protecting new wealth), AJR 2005 (new wealth from Atlantic trade; Tawney, Moore, and Rajan and Zingales, from a gentry enriched by the dissolution of the monasteries). Two facts go against them: domestic property was already relatively secure for the rich in the seventeenth century, and changed little afterwards; and, in the data, the measures of domestic wealth (being an heir, land, a titled father) predict nothing, although they do predict income. The nuance on AJR 2005: Atlantic trade mattered, but England did not become an oligarchy of enriched merchants, since the Crown kept much of the gains; what acted were the **future gains** that shares promised to a broad coalition, not shocks to existing wealth. **7 points**

Extra credit (up to 2 points, not exceeding 15): the alternatives ruled out: it was not a wealth shock (investors in companies that made no profit rebelled **more**), not a taste for risk (investors in domestic companies, just as risky, did not rebel), not prior politics (overseas investors cultivated **more** ties with the court). Or the comparison based on coming of age at 21 in a year when a company issued shares.

Common errors to penalize: saying that investors rebelled because they had grown rich from trade (most companies failed, and the argument is about future gains captured by the Crown); treating religion as the main cause (Jha reads it as a useful banner that cut across divergent interests); reducing (ii) to “the others talk about domestic wealth” without saying why that does not work.

Question 12 (Valencia Caicedo 2019), 15 points

- (i) **The argument.** From 1609, on the frontier lands between the Spanish and Portuguese empires, the Jesuits founded 30 missions among the Guarani (15 in Argentina, 8 in Paraguay, 7 in Brazil). The official aim was conversion, but they invested heavily in **education**: they taught children to read, write and count, and trained adults in crafts. They were expelled in 1767 and never returned. Today, 250 years later, in municipalities near the former missions, within the same Guarani area, literacy and median years of schooling are 10% to 15% higher, and income per person is 10% higher (100 km closer: about 0.7 more years of schooling and

10% less poverty). The effect was larger in historical periods and decays after the war, but persists. The thesis: the transmission of human capital across generations is a central driver of long-run economic outcomes. **5 points**

- **(ii) The Franciscans.** Same people, same region, same religion and the same aim of converting souls; the difference is that the Jesuits emphasized education and technical training, and the Franciscans (a mendicant order, with vows of poverty) did not. The Franciscans arrived earlier (1580) and settled on better land, closer to population centres. There is no positive long-run economic effect of the Franciscan missions. This shows that what matters is the **investment in human capital**, not the missionary presence or religion as such, and rules out the reading that the Jesuits simply chose better places. (Mentioning the abandoned missions as a complementary comparison earns credit, but does not replace the Franciscans.) **5 points**
- **(iii) Why he needs the sectoral composition.** The argument is one of persistence, and persistence requires a mechanism: one has to show where in the local economy the human capital advantage was recorded. People living near the former missions moved more out of agriculture into manufacturing and services, and specialized in more skill-intensive industries. Skilled workers and the industries that need them stay in the same places, and schooling passes from parents to children; the local productive structure thus reproduces, generation after generation, the human capital advantage created by the missions. This channel is complemented by faster adoption of new agricultural technologies (genetically modified soy), which saves labour and pushes more people out of farming. **5 points**

Extra credit (up to 2 points, not exceeding 15): what the effect is **not**: it is not migration or urbanization (the effect is among residents); or the treatment was cut off in 1767, which makes the persistence more remarkable; or Weber’s reading of Jesuit discipline.

Common errors to penalize: saying that the Franciscans “also had an effect, only smaller” (they did not); attributing the effect to religion or to Catholicism in general; confusing structural transformation with urbanization (places near the missions are not denser).

Question 13 (Cagé, Grosjean and Jha 2023), 15 points

Everything asked is in the assigned chapter; figures from the full article (AER) are not required.

- **(i) Why a hero legitimizes.** Having shown, through a costly sacrifice, a willingness to give up his own well-being for the country, the hero inspires trust on other national questions, and is in a privileged position to legitimize positions previously considered unacceptable. Here the trust was built at Verdun: the intensity of the battle did not change before and after Pétain’s promotion, but his style of command did, visibly to the troops. He placed his headquarters and his own quarters on the Voie Sacrée, “closer to the battle than many generals of his day would have thought necessary, or comfortable”, and visited soldiers in hospital when he could. Under his command soldiers interacted with him more and received more medals for heroism, which created a shared heroic identity. **5 points**
- **(ii) The network and what it did.** *Formation:* after a surprise German offensive, four generals were sacked in five days and a decision “hastily made” put Pétain in command. In 1914 he was a 58-year-old colonel on the verge of retirement, assigned to Verdun only because he happened to be available. He commanded an arbitrary rotation of regiments drawn from all over France, from February to 1 May 1916. By the end of the battle, 88.7% of France’s 34,947 municipalities had raised a regiment that passed through Verdun, and 50.1% one that served under Pétain’s direct command. *Between the wars:* politically identical to the others in 1914, these municipalities diverge after the First World War, and they do so by following Pétain’s own positions, first anti-communist and then increasingly right-wing; in 1936 Bucard’s Francisme received 2.6% more votes in the first round, and in the week between the two rounds, just after Pétain’s interview with *Le Journal* on 1 May, the SFIO vote

fell 6.98% in these municipalities, mainly to the benefit of Flandin's Alliance Démocratique (Flandin later became Vichy's vice-president and foreign minister); turnout did not change. *Under Vichy*: 7.4% more collaborators than similar municipalities in the same département, across all forms of collaboration, and 8.45% fewer civilian members of the Resistance. **5 points**

- **(iii) Why support continues after 1943.** There are complementarities within the network: the political influence of Pétain's credentials was greater when legitimized and spread by the network of those who served with him, and each of them became more influential the more the leader was seen as a hero. If those who share the credential come to be seen as traitors, the value of each one's credential falls, and this holds above all for the most public face of the network. It was therefore more costly for a Verdun hero to turn against Pétain than for someone who did not share that identity, and there was an incentive to join organizations that reinforced the value of the credentials: the more one invests, the more costly it is to walk away. Hence the consistent increase of 5% to 6% in participation in every collaborationist group, including those that admitted only Frenchmen in 1943 and 1944. Darnand and Bucard illustrate it: both decorated by Pétain, both strongly anti-German and decorated again in 1939 and 1940, both followed him into collaboration; Darnand reached the Milice at Pétain's personal request, swore loyalty to Hitler and joined the Waffen SS. **5 points**

Extra credit (up to 2 points, not exceeding 15): noting that the mechanism is symmetric and can serve democracy, as in the case of Joshua Chamberlain, hero of Little Round Top at Gettysburg, facing the armed crowd at the Maine State House in 1880; or the spread beyond the network, with 7.2% more collaborators among non-veterans, and only in the Verdun municipalities under Pétain.

Common errors to penalize: attributing the effect to the violence of combat (the intensity of the battle did not change with Pétain's promotion); saying that the municipalities were already right-wing (they were identical in 1914); treating the network as mere Vichy propaganda (the divergence begins in the 1920s, in secret ballots, long before Pétain held power).

Question 14 (Klein and Luna 2009, ch. 5), 15 points

- **(a) Structure of ownership and diversity of uses.** The tables show that the use of enslaved labour was widespread in the Brazilian economy. Table 3.5 shows that most owners held small numbers of enslaved people, up to five, so ownership was not restricted to the great planters. Table 5.3 shows enslaved people employed in varied activities, such as sugar, coffee, cane brandy (*aguardente*), food production and livestock. So although large holdings were especially important in some export activities, enslaved labour was also present in smaller units and in sectors tied to the domestic market. **5 points**
- **(b) Fenoaltea and the organization of labour.** The model distinguishes forms of labour organization according to the characteristics of the task. In activities that required mainly physical effort, with little need for skill or care, coercion, the threat of violence and close supervision could be more effective; examples include routine tasks on the large plantations and the removal of earth and rock in mining. Activities that required attention, skill or initiative tended to rely more on positive incentives and greater autonomy. In mining, the search for and washing of gold and diamonds could involve rewards and even the prospect of manumission. The *escravos de ganho* are another example: they worked with relative autonomy, handing a fixed sum to the owner and keeping part of their earnings. Require at least two relevant examples. **5 points**
- **(c) Domar, land and forced labour.** When land is abundant and accessible, free workers can leave wage labour and become small producers or squatters. This makes it hard to form a stable supply of labour for the large landowners, since, without some restriction on workers' freedom, they have no need to stay employed on the large estates. Klein and Luna apply this

argument to Brazil: given the abundance of land and a landowning class favoured by the Crown, it was very difficult to keep free workers as wage earners, which contributed to the recourse to forced labour. **5 points**

Common errors to penalize: in (a), treating slavery as restricted to export plantations or ignoring the wide presence of small holdings; in (b), reducing Fenoaltea to an opposition between “violence” and “no violence”, without relating incentives to the characteristics of the tasks; in (c), claiming that abundant land directly raises the demand for labour, instead of explaining the free worker’s choice to produce on his own account.

Distribution of questions

Ten of the eleven required readings from classes 3 to 13 appear on the exam. Matranga (class 8) is left out. Question 14 adds an essay discussion of chapter 5 of Klein and Luna, in addition to multiple choice question 7.

Article	Multiple choice	Essay
Nunn (2008)	1	
Feir, Gillezeau and Jones (2024)	2	
Lowes and Montero (2021, AER)	3	
Ottinger and Voigtländer (2025)	4, 10	
Larsen, ch. 14	5	
Larsen, ch. 6	6	
Klein and Luna (2009), ch. 5	7	14
<i>Slides, class 12</i> , Dippel and Heblich (2021)	8	
<i>Slides, class 9</i> , Barjamovic et al. (2019)	9	
Jha (2015)		11
Valencia Caicedo (2019)		12
Cagé, Grosjean and Jha (2023)		13

Reserve questions (not included in the exam)

To swap for any of the ten, if needed. All answerable from the introduction (or the chapter) and the slides.

R1. (Larsen, ch. 5) Why did Old Assyrian trade leave such a dense written record, without parallel at other sites of the ancient world?

- (a) Because the palace of Kanesh kept scribes who recorded every transaction of the merchants, as a condition of the treaty.
- (b) Because most adult men, and some women, could read and write: the Assyrians simplified cuneiform script and each merchant wrote his own letters.
- (c) Because the temple of the god Assur required a copy of every contract, kept in the royal archive of the city of Assur, now excavated.
- (d) Because the merchants hired Babylonian scribes, whose more elaborate script is the one found on the Kanesh tablets.

Answer: (b). In ancient societies less than 1% were literate; among the Assyrians in Anatolia, most adult men wrote, using a reduced cuneiform with fewer signs and a word divider (they

“democratised writing”). A merchant far from any scribe needed to read a confidential letter on his own. (c) is impossible: no archive from Assur survives.

R2. (Feir, Gillezeau and Jones 2024, introduction) The authors say the article contributes to a “counter-narrative” in the literature on the colonization of North America. What is it?

- (a) That North America’s wealth came from Europeans’ choice to settle there, bringing human capital, technology and institutions favourable to growth, exactly as in the cases studied by Acemoglu, Johnson and Robinson.
- (b) That Europeans did not bring their institutions and human capital to a blank slate: Indigenous institutions, resources and industries were destroyed in the process, and the reversal of fortune of the bison nations is a new explanation for the geographic concentration of Indigenous poverty.
- (c) That current Indigenous poverty is due above all to the application of the Dawes Act and the fragmentation of land ownership, and not to any shock before the reservations were created.
- (d) That the bison nations were never prosperous, and that the idea of a “reversal of fortune” is a myth created by the first anthropologists who described them as egalitarian.

Answer: (b). The literature (AJR 2001 and others) attributes North America’s wealth to the European decision to settle; Feir et al. point out that this did not happen on a blank slate, and that Indigenous institutions, resources and industries were undermined in the process. (a) is the narrative the article runs against; (c) contradicts the result on the Dawes Act; (d) contradicts the anthropometric evidence.

R3. (Matranga 2024, literature review) Ashraf and Michalopoulos (2015) also link climate to the adoption of agriculture. How does Matranga’s explanation differ from theirs?

- (a) They emphasize unpredictable variation in climate from one year to the next, moderate enough to accumulate agricultural knowledge; Matranga emphasizes predictable variation within the year, which pushes nomads to store and to settle.
- (b) They emphasize the warming after the ice age, which would have made cultivation easier; Matranga emphasizes colder winters, which would have destroyed hunting and forced cultivation.
- (c) They emphasize population growth, which reduced the nomads’ territory; Matranga emphasizes the population decline caused by seasonal famines, which freed land for planting.
- (d) They emphasize variation within the year, which Matranga considers irrelevant; Matranga emphasizes long-run variation across centuries, measured in paleoclimate simulations.

Answer: (a). Ashraf and Michalopoulos use modern climate data and conclude that high and low volatility across years delayed agriculture, with moderate variation making it easier to accumulate knowledge; Matranga focuses on seasonality within the year, which is predictable and makes storage worthwhile. (d) reverses the roles; (b) and (c) are other theories in the literature (Diamond; Locay), not those of the two articles.

R4. (Class 5, Dippel 2014, article covered in class) *Swap with question 8 if the intention is to examine Dippel from class 5 instead of the paper from class 12.* Dippel studies Native American reservations in the United States formed from more than one autonomous band, which he calls “forced coexistence”. What is the article’s argument?

- (a) That artificial reservations perform poorly because of ethnic and linguistic division among the peoples brought together in them, the best-studied case of badly drawn colonial borders.
- (b) That bringing together peoples with no history of common government, even of the same ethnicity and language, lowers income today by about 30%, because conflict between factions makes the enforcement of contracts uncertain.

- (c) That reservations formed from several bands are richer today, because the larger population gave scale for investment in public goods and for bargaining with the federal government.
- (d) That the income gap between reservations comes entirely from land quality and distance to cities, and disappears once these characteristics are taken into account.

Answer: (b). What Dippel isolates is not ethnic diversity but the absence of a history of shared government: the bands of a reservation were ethnically and linguistically the same, but the tribe was not a unit of government, and decisions were made at the level of the band. The effect appears only when reservations become governments in fact, from the late 1980s, and comes with more press reports of internal conflict; since tribal councils concentrate the three branches of power and reservation courts rule on commercial disputes, factional politics turns into contracting uncertainty (the “sovereign’s paradox”). (a) is the usual explanation, which the article separates from its own; (c) and (d) contradict the result.